

EOM Final Exam Cheat Sheet

Post-Organizing Topics (Staffing, Leading & Controlling)

STAFFING (Part 4)

Definition

Staffing involves **filling and keeping filled the positions** in the organization structure. It includes identifying workforce requirements, recruiting, selecting, placing, promoting, appraising, compensating, and training so that tasks are accomplished effectively and efficiently.

Key Staffing Functions

- **Identifying workforce requirements** – Determine skills and number of employees needed
- **Inventorying people available** – Know your current talent pool
- **Recruiting** – Source qualified candidates
- **Selecting** – Choose the best candidates
- **Placing** – Assign to appropriate positions
- **Promoting** – Career advancement
- **Appraising** – Evaluate performance
- **Compensating** – Provide fair wages and benefits
- **Training** – Develop employee skills

Importance of Staffing

- Ensures the right people are in the right positions
- Improves organizational productivity
- Reduces employee turnover
- Creates alignment between employee skills and job requirements
- Builds a strong organizational culture

Human Resource Planning

Human Resource Management (HRM) involves strategic planning for future talent needs:

- Forecasting future human resource needs
- Assessing current workforce capabilities
- Identifying skill gaps

- Creating training and development programs
- Planning succession for key positions

Recruitment Process

Sources of recruitment:

- **Internal recruitment** – Promoting from within
- **External recruitment** – Hiring from outside (universities, competitors, job markets)

Selection criteria:

- Educational qualifications
- Work experience
- Technical skills
- Soft skills and attitude
- Cultural fit with organization

Types of Training

- **On-the-job training** – Learning while working
- **Off-the-job training** – Classroom, workshops, seminars
- **Mentoring programs** – Learning from experienced employees
- **Skill development programs** – Technical and soft skills
- **Leadership development** – For future managers

Performance Appraisal

Purpose:

- Evaluate employee performance against standards
- Identify strengths and development areas
- Determine compensation and promotion
- Provide feedback and motivation

Methods:

- Ratings/Scales – Numerical evaluation
- Ranking – Comparing employees against each other
- 360-degree feedback – Input from managers, peers, and subordinates
- Critical incident method – Documenting specific behaviors

LEADING (Part 5)

Definition

Leading is **influencing people** so that they will contribute to organizational and group goals. It has to do predominantly with the interpersonal aspect of managing. It involves motivation, leadership styles, and communication.

Key Concepts in Leading

Motivation

Definition: The process of providing reasons or incentives to act in a desired way.

Theories of Motivation:

Maslow's Hierarchy of Needs:

- Physiological needs – Food, water, shelter
- Safety needs – Security, protection
- Social needs – Belonging, love, companionship
- Esteem needs – Recognition, respect, self-esteem
- Self-actualization – Realizing full potential

Herzberg's Two-Factor Theory:

- **Hygiene factors** (preventers of dissatisfaction) – Salary, working conditions, policies
- **Motivators** (creators of satisfaction) – Recognition, achievement, responsibility, advancement

McGregor's Theory X and Theory Y:

- **Theory X** – Employees are lazy, need supervision, avoid responsibility
- **Theory Y** – Employees are self-motivated, seek responsibility, capable of self-direction

Leadership Styles

Autocratic (Authoritarian) Leadership:

- Leader makes all decisions
- Minimal employee input
- Directive and controlling
- Works well in crisis situations
- Can reduce employee morale

Democratic (Participative) Leadership:

- Leaders involve employees in decision-making

- Encourages input and suggestions
- Collaborative approach
- Improves employee satisfaction and commitment
- Takes longer to reach decisions

Laissez-faire (Free-Rein) Leadership:

- Minimal leader involvement
- Employees have maximum autonomy
- Leader provides resources and support
- Works well with highly skilled, motivated teams
- Can lead to lack of direction if not managed properly

Situational Leadership:

- Leadership style changes based on situation
- Considers employee competence and commitment
- Adapts to organizational needs
- Most flexible approach

Communication in Leadership

Two-way communication:

- Feedback flows both directions
- Listening is as important as speaking
- Builds understanding and trust
- Essential for effective leadership

Communication barriers:

- Language differences
- Noise and distractions
- Lack of clarity
- Emotional reactions
- Status differences

Effective communication strategies:

- Be clear and concise
- Listen actively
- Provide feedback
- Use multiple channels
- Ensure understanding

Building Organizational Culture

Culture elements:

- Shared values and beliefs
- Norms of behavior
- Communication patterns
- Symbols and rituals
- Stories and traditions

Leader's role in culture:

- Model desired behaviors
- Communicate values consistently
- Recognize and reward aligned behaviors
- Create psychological safety
- Foster innovation and continuous improvement

CONTROLLING (Part 6)

Definition

Controlling is **measuring and correcting** individual and organizational performance to ensure that events conform to plans. It involves measuring performance against goals and plans, showing where deviations from standards exist, and helping to correct deviations.

Purpose of Controlling

- Ensures plans are being achieved
- Identifies problems early
- Facilitates corrective action
- Improves future planning
- Provides accountability
- Protects organizational assets

Control Process (Steps)

1. Setting Performance Standards

- Establish clear, measurable expectations
- Based on organizational goals and plans
- Communicated to all stakeholders
- Should be achievable yet challenging

2. Measuring Actual Performance

- Collect data on what actually happened
- Use various measurement tools (metrics, KPIs)
- Ensure accuracy and timeliness
- Document measurements

3. Comparing Performance with Standards

- Analyze actual vs. expected performance
- Calculate variances (deviations)
- Identify significant differences
- Understand causes of variances

4. Taking Corrective Action

- Address deviations from standards
- Root cause analysis
- Implement corrective measures
- Follow up to ensure effectiveness
- Document actions taken

5. Feedback and Learning

- Review lessons learned
- Update standards if needed
- Improve future planning
- Share insights across organization

Types of Controls

Preventive (Feedforward) Control:

- Prevents problems before they occur
- Focuses on inputs and processes
- Example: Training programs before new projects
- Most effective type

Concurrent (Real-time) Control:

- Monitors during actual performance
- Allows immediate correction
- Example: Supervisor monitoring production
- Prevents major deviations

Corrective (Feedback) Control:

- Addresses problems after they occur
- Focuses on past performance
- Least preventive
- Important for continuous improvement

Areas of Control**Financial Control:**

- Budgets – Monitor spending
- Financial statements – Track income and expenses
- Audits – Independent verification
- Ratios – Analyze financial health

Operational Control:

- Quality control – Product/service standards
- Inventory control – Stock management
- Production schedules – Timeline monitoring
- Customer satisfaction – Service levels

Strategic Control:

- Monitor overall strategy effectiveness
- Assess market and competitive position
- Review organizational goals achievement
- Long-term performance trends

Performance Metrics (KPIs)**Quantitative metrics:**

- Sales revenue
- Production output
- Cost per unit
- Employee turnover rate
- Customer satisfaction score

Qualitative metrics:

- Employee morale
- Customer loyalty
- Brand reputation

- Innovation level
- Organizational culture

Challenges in Controlling

- **Over-control** – Stifles creativity and autonomy
- **Under-control** – Allows standards to be ignored
- **Measurement difficulties** – Hard to quantify some outcomes
- **Time lag** – Delays in data collection and analysis
- **Resistance** – Employees may resent monitoring
- **Cost** – Control systems require resources
- **Ethical concerns** – Privacy and fairness issues

Management by Exception

Concept: Focus control efforts on significant deviations from standards

Advantages:

- Saves time and resources
- Focuses on important issues
- Prevents information overload
- Allows flexibility in less critical areas

Process:

- Set tolerance levels for deviations
- Monitor continuously
- Report only significant variances
- Investigate and correct major issues

Technology in Controlling

- **Automated monitoring** – Real-time data collection
- **Data analytics** – Identify patterns and trends
- **Dashboards** – Visual performance tracking
- **ERP systems** – Integrated data management
- **AI and predictive analytics** – Forecast future performance

Integration: How Functions Work Together

Planning → Organizing → Staffing → Leading → Controlling

1. **Planning** sets the goals and objectives
2. **Organizing** creates the structure to achieve those goals
3. **Staffing** fills positions with right people
4. **Leading** motivates people to perform
5. **Controlling** ensures performance meets standards

Feedback Loop

- Controlling information feeds back to Planning
- Plans are adjusted based on actual performance
- Process is continuous and cyclical
- Continuous improvement mindset

Quick Reference: Common Exam Patterns

Staffing

- Distinguish recruitment from selection
- Differences between training types
- Purpose of performance appraisal
- HR planning steps

Leading

- Leadership style differences and when to use each
- Motivation theories and practical application
- Barriers to effective communication
- Building organizational culture

Controlling

- Control process steps in order
- Types of control and their characteristics
- Distinguishing between variance and standard
- Performance metrics and KPIs
- Management by exception concept

Application Problems

- Recommend leadership style for scenarios
- Identify control type for situations
- Suggest staffing solutions
- Calculate variances and interpret

Key Formulas & Calculations

Variance = Actual Performance - Standard Performance

Positive variance = Better than expected

Negative variance = Worse than expected

Performance Ratio = Actual Performance / Standard Performance

Turnover Rate = (Number of Employees Left / Average Number of Employees) × 100

Cost per Hire = Total Recruitment Costs / Number of Employees Hired

Mintzberg's 10 Managerial Roles (Review)

Interpersonal: Figurehead, Leader, Liaison

Informational: Monitor, Disseminator, Spokesperson

Decisional: Entrepreneur, Disturbance Handler, Resource Allocator, Negotiator

Note: Leading role is central to staffing, leading, and controlling functions

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